The Budgetary Comparison Schedules are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. The Budgetary Comparison Schedules have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on it.

The Proprietary Funds Financial Schedules – Accrual Basis on pages 35 – 37 are presented for purposes of additional analysis and are not required parts of the basic financial statements.

The Proprietary Funds Schedules are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. The Proprietary Funds Schedules have been subjected to auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Proprietary Funds Schedules are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have issued our report dated March 15, 2023, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Bergankdv, LLC

Minneapolis, Minnesota
March 15, 2023

City of Ashland, Nebraska
Statement of Net Position - Cash Basis
September 30, 2022

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	$ 3,284,949	$ 1,266,202	$ 4,551,151
Restricted cash	459,167	-	459,167
Cash with County Treasurer	64,295	-	64,295
Certificates of deposit	74,283	93,253	167,536
Due from other funds	303,191	4,909	308,100
Total assets	$ 4,185,885	$ 1,364,364	$ 5,550,249
Liabilities			
Due to other funds	308,100	-	308,100
Total liabilities	308,100	-	308,100
Net Position			
Restricted for			
Debt service	1,937,062	-	1,937,062
Community betterment	119,963	-	119,963
Community development	459,167	-	459,167
Unrestricted	1,361,593	1,364,364	2,725,957
Total net position	$ 3,877,785	$ 1,364,364	$ 5,242,149

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Statement of Activities - Cash Basis
For the Year Ended September 30, 2022

Functions/Programs	Expenses	Program Revenues: Charges for services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net Revenues (Expenses) and Changes in Net Assets: (Cash Basis) Governmental Activities	Net Revenues (Expenses) and Changes in Net Assets: Business-type Activities	Net Revenues (Expenses) and Changes in Net Assets: Net Total
Primary government							
Governmental activities							
General services	$ 621,707	$ 232,845	$ 75,767	$ -	$ (313,095)		$ (313,095)
Public safety	829,561	274,335	-	-	(555,226)		(555,226)
Public works	1,294,089	15,371	116,443	472,840	(689,435)		(689,435)
Culture and recreation	539,871	52,636	-	-	(487,235)		(487,235)
Interest and fees	54,379	-	-	-	(54,379)		(54,379)
Total governmental activities	3,339,607	575,187	192,210	472,840	(2,099,370)		(2,099,370)
Business-type activities							
Utilities	1,495,625	1,821,802				$ 326,177	326,177
Debt service and interest	432,127	-				(432,127)	(432,127)
Total business-type activities	1,495,625	1,821,802				(105,950)	(105,950)
Total government	$ 4,835,232	$ 2,396,989	$ 192,210	$ 472,840	(2,099,370)	(105,950)	(2,205,320)
General Revenues							
Taxes							
Property					1,102,823	-	1,102,823
Sales					849,193	-	849,193
Occupation					55,129	-	55,129
Interest income					6,104	2,285	8,389
Net proceeds from issuance of debt					995,000	-	995,000
Miscellaneous					478,048	-	478,048
Total general revenues					3,486,297	2,285	3,488,582
Change in Net Position					1,386,927	(103,665)	1,283,262
Net Position - beginning of year					2,490,858	1,468,029	3,958,887
Net Position - end of year					$ 3,877,785	$ 1,364,364	$ 5,242,149

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Balance Sheet - Governmental Funds - Cash Basis
September 30, 2022

	General	Debt Service	Special Revenue Keno	Total Governmental Funds
Assets				
Cash and cash equivalents	$ 1,538,476	$ 1,626,510	$ 119,963	$ 3,284,949
Restricted cash	459,167	-	-	459,167
Cash with County Treasurer	51,505	12,790	-	64,295
Certificates of deposit	74,283	-	-	74,283
Due from other funds	260	302,931	-	303,191
Total assets	$ 2,123,691	$ 1,942,231	$ 119,963	$ 4,185,885
Liabilities				
Due to other funds	$ 302,931	$ 5,169	$ -	$ 308,100
Fund balance				
Restricted for				
Debt service	-	1,937,062	-	1,937,062
Community betterment	-	-	119,963	119,963
Community development	459,167	-	-	459,167
Unassigned	1,361,593	-	-	1,361,593
Total fund balance	1,820,760	1,937,062	119,963	3,877,785
Total liabilities and fund balance	$ 2,123,691	$ 1,942,231	$ 119,963	$ 4,185,885

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Funds - Cash Basis
For The Year Ended September 30, 2022

	General	Debt Service	Special Revenue Keno	Total Governmental
Revenues				
Taxes	$ 1,805,017	$ 240,427	$ -	$ 2,045,444
Special assessments	-	3,944	-	3,944
Licenses and permits	210,495	-	-	210,495
Intergovernmental revenues	488,994	21,314	-	510,308
Charges for services	315,504	-	-	315,504
Keno	-	-	49,188	49,188
Interest income	4,316	1,729	59	6,104
Housing rehabilitation program	112,499	-	-	112,499
Other revenues	478,048	-	-	478,048
Total revenues	3,414,873	267,414	49,247	3,731,534
Expenditures				
General government	584,660	14,967	22,080	621,707
Streets and street lighting	837,797	-	-	837,797
Public health and safety	829,561	-	-	829,561
Culture and recreation	517,719	-	-	517,719
Public buildings and inspections	119,297	-	-	119,297
Community development	-	-	22,152	22,152
Debt service				
Capital lease principal	34,620	92,375	-	126,995
Principal retirement	-	210,000	-	210,000
Interest	4,533	49,846	-	54,379
Total expenditures	2,928,187	367,188	44,232	3,339,607
Excess (deficiency) of revenues over expenditures	486,686	(99,774)	5,015	391,927
Other financing sources				
Issuance of bond anticipation notes	-	995,000	-	995,000
Total other financing sources	-	995,000	-	995,000
Excess (deficiency) of revenues and other financing sources over expenditures and other financing uses	486,686	895,226	5,015	1,386,927
Fund balance - beginning of year	1,334,074	1,041,836	114,948	2,490,858
Fund balance - end of year	$ 1,820,760	$ 1,937,062	$ 119,963	$ 3,877,785

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Statement of Net Position - Proprietary Funds - Cash Basis
September 30, 2022

	Utilities
Assets	
Cash and cash equivalents	1,266,202
Certificates of deposit	93,253
Due from other funds	4,909
Total assets	$ 1,364,364
Net Position	
Unrestricted	1,364,364
Total net position	$ 1,364,364

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Statement of Cash Receipts, Disbursements, and Changes
in Net Position - Proprietary Funds - Cash Basis
For The Year Ended September 30, 2022

	Utilities
Receipts	
User fees	1,552,188
Late charges	29,061
Interest	2,285
Grants and contributions	233,978
Miscellaneous income	6,575
Total receipts	1,824,087
Disbursements	
General administrative	391,760
Production and distribution	1,103,865
Debt service - principal	390,000
Debt service - interest	42,127
Total disbursements	1,927,752
Excess (deficiency) of receipts over disbursements	(103,665)
Net position - beginning of year	1,468,029
Net position - end of year	$ 1,364,364

See accompanying notes to the basic financial statements.

City of Ashland, Nebraska
Schedule of Revenues, Expenditures, and Changes in
Fund Balance - Budget and Actual (Budgetary Basis)
General Fund
For The Year Ended September 30, 2022

	Initial & Final Budget	Actual	Variance
Revenues			
Taxes	$ 1,595,028	$ 1,805,017	$ 209,989
Licenses and permits	202,200	210,495	8,295
Intergovernmental revenues	434,429	488,994	54,565
Charges for services	41,550	41,169	(381)
Miscellaneous revenues	1,050,565	478,048	(572,517)
Gain on sale of assets	2,500	-	(2,500)
Ambulance fees	165,000	219,081	54,081
Rural fire department	24,311	55,254	30,943
Grant income	448,400	112,499	(335,901)
Interest income	5,040	4,316	(724)
Total revenues	3,969,023	3,414,873	(554,150)
Expenditures			
General government	831,383	584,660	246,723
Streets and street lighting	2,619,132	837,797	1,781,335
Public health and safety	865,523	868,714	(3,191)
Culture and recreation	524,335	517,719	6,616
Public buildings and inspections	99,164	119,297	(20,133)
Total expenditures	4,939,537	2,928,187	2,011,350
Excess (deficiency) of revenues over expenditures	$ (970,514)	486,686	$ 1,457,200
Fund balance - beginning of year		1,334,074	
Fund balance - end of year		$ 1,820,760	

City of Ashland, Nebraska
Schedule of Revenues, Expenditures, and Changes in
Fund Balance - Budget and Actual (Budgetary Basis)
Special Revenue Fund
For The Year Ended September 30, 2022

	Initial and Final Budget	Actual	Variance
Revenues			
Keno	$ 62,000	$ 49,188	$ (12,812)
Interest income	125	59	(66)
Total revenues	62,125	49,247	(12,878)
Expenditures			
General and administrative	16,000	22,080	(6,080)
Community development	46,125	22,152	23,973
Total expenditures	62,125	44,232	17,893
Excess of revenues over expenditures	$ -	5,015	$ 5,015
Fund balance - beginning of year		114,948	
Fund balance - end of year		$ 119,963	

City of Ashland, Nebraska
Schedule of Revenues, Expenditures, and Changes in
Fund Balance - Budget and Actual (Budgetary Basis)
Debt Service Fund
For The Year Ended September 30, 2022

	Initial and Final Budget	Actual	Variance
Revenues			
Taxes	$ 246,909	$ 240,427	$ (6,482)
Intergovernmental revenues	-	21,314	21,314
Special assessments	2,000	3,944	1,944
Interest income	-	1,729	1,729
Total revenues	248,909	267,414	18,505
Expenditures			
General government	-	14,967	(14,967)
Debt service			
Capital lease payments	136,963	98,430	38,533
Principal retirement	210,000	210,000	-
Interest	43,792	43,791	1
Total expenditures	390,755	367,188	23,567
Excess (deficiency) of revenues over expenditures	$ (141,846)	(99,774)	$ 42,072
Other financing sources			
Proceeds from bond anticipation note issuance	1,195,190	995,000	(200,190)
Total other financing sources	1,195,190	995,000	(200,190)
Excess (deficiency) of revenues and other financing sources over expenditures	$ 1,053,344	895,226	$ (158,118)
Fund balance - beginning of year		1,041,836	
Fund balance - end of year		$ 1,937,062	

City of Ashland, Nebraska
Schedule of Revenues,
Expenses and Changes in Net Position
Proprietary Funds - Accrual Basis
For The Year Ended September 30, 2022

	Utilities
Operating revenues	
User fees	$ 1,557,105
Late charges	29,061
Miscellaneous income	6,575
Total operating revenues	1,592,741
Operating expenses	
General administrative	384,003
Production and distribution	180,509
Depreciation and amortization	632,100
Total operating expenses	1,196,612
Operating income	396,129
Non-operating revenues (expenses)	
Interest income	2,285
Interest and fiscal fees	(39,708)
Total non-operating revenues (expenses)	(37,423)
Change in net position	358,706
Net position - beginning of year	6,416,580
Net position - end of year	$ 6,775,286

City of Ashland, Nebraska
Schedule of Cash Flows
Proprietary Funds - Accrual Basis
For The Year Ended September 30, 2022

	Utilities
Cash flows from operating activities	
Cash receipts from customers	$ 1,581,199
Other operating receipts	240,553
Cash payments to employees for services	(280,437)
Cash payments to suppliers for goods and services	(440,204)
Net cash provided by operating activities	1,101,111
Cash flows from capital and related financing activities	
Purchase of capital assets	(774,940)
Principal payment on bonds payable	(390,000)
Interest and fiscal fees paid on debt	(42,127)
Net cash used in capital and related financing activities	(1,207,067)
Cash flows from investing activities	
Interest on investments	2,285
Net sale of certificate of deposits	(233)
Net cash provided by investing activities	2,052
Net decrease in cash and cash equivalents	(103,904)
Cash and cash equivalents - beginning of year	1,370,106
Cash and cash equivalents - end of year	$ 1,266,202
Reconciliation of change in net assets to cash provided by operating activities	
Operating income	$ 396,129
Adjustments to reconcile operating income to net cash provided by operating activities	
Depreciation and amortization	632,100
Increase in receivables	(4,917)
Decrease in payables and accrued expenses	(156,179)
Increase in deferred revenue	233,978
Net cash provided by operating activities	$ 1,101,111